

TYING UP: Carlos Ghosn with R. Seshasayee and Ashok Hinduja

to develop new models as also offtake. So if anyone has to succeed, their costs have to be low, and time to market has to be fast. No wonder, the last one year has seen automakers from every possible category announce big plans for India because number crunching shows that in less than ten years—by 2016—India's car market is slated to quadruple to 4 million units a year.

With demand push on one side and policy boost from the other, India may have become the favourite parking place but automakers are in no mood to repeat the mistakes of the past because India is a tough market to crack, given that it does not deliver enough volumes to justify heavy overhead investments in a new plant and distribution network. As investments are very high in setting up shop and the time to market is long, global auto companies are trying to cut costs and time by tying up with Indian companies that know the pulse of the market. Automakers the world over make \$7 (Rs 280) for every \$100 (Rs 4,000) invested. With car volumes dipping, it's not possible to recover such high development costs which is why automakers are looking at multiple relationships in India.

Renault is amongst the first multinationals to test this model of collaboration in India with the \$6.5 billion (Rs 26,000 crore) Mahindra & Mahindra group. The joint venture between the French major and M&M produced the Logan—an Indian car with a French soul. Says Bilaine: "We've brought the technology, product and processes, but the execution was Indian." Mahindra Renault's Logan is the first of its kind of experiments in the world, where two diverse auto companies have launched a product jointly. Within a year, the company has achieved 60 per cent localisation, which is why the car is sold



NISSAN AND ASHOK LEYLAND
Proposed investment \$500 MILLION

The partnership will create three separate companies, which will jointly develop and manufacture commercial vehicles under both brand names

at under Rs 5 lakh.

Had Renault gone alone, the cost would have been several times more and it would have taken the company five years to launch its first car in India. From start to finish, the Logan has come to market in less than 24 months at an unbelievable project cost of Rs 500 crore. With M&M in the fray, Renault has not had to worry about clearances, land acquisition or setting up of the Nashik plant. M&M also used its long-standing procurement partnerships with component suppliers to get a better deal for the Logan.

With the Logan capturing 11 per cent of the market share in six months, Renault and Nissan's appetite has been whetted for other segments. No wonder both companies have announced a spate of partnerships in India, along with a host of other automakers.

The alliances are bound by sound

economic logic. Players like Fiat are redrawing their plans for the Indian market with new alliances and new models. The Italian major has tied up with Tata Motors to manufacture cars, engines and transmissions for Indian and overseas markets. The relationship will look at leveraging mutual strengths and technology-sharing. Under the agreement, an industrial establishment will be set up at the Fiat plant at Ranjangaon in Maharashtra. This is a win-win relationship for both Fiat and Tata Motors because it enhances the product portfolio of Tata and gives it access to the cutting edge technology of Fiat, while it gives the Italian carmaker a ready distribution network in India. With the plant manufacturing one lakh cars—both under Tata and Fiat brand names—the operations will achieve economies of scale that so far have evaded most global

Compared to barely a dozen new models in 2007, this year an array of 75 new models and variants across different segments of size and type will be unveiled

Surging domestic sales and exports in both vehicles and components have triggered investments to the tune of \$40 billion by auto majors and component makers